A study on Personal Loan at Bajaj Finserv Limited

Introduction

Personal loans have become an important part of the modern financial system because they help individuals meet various personal and emergency financial requirements without the need to provide security or collateral. A personal loan is generally an unsecured loan that can be used for purposes such as education, medical expenses, marriage, travel, home improvement, debt repayment, or the purchase of consumer goods. The flexibility, simple documentation, and relatively quick processing of personal loans make them attractive to salaried employees, self-employed individuals, and other customers.

Bajaj Finserv is a prominent financial services company of the Bajaj Group, with its activities covering lending, insurance, and wealth advisory services. Its lending portfolio includes personal loans, secured loans, home finance, and home equity loans. Personal loans offered through Bajaj Finserv are designed to provide customers with convenient access to funds while maintaining a relatively simple application and documentation process. The study by Dr. Jonathan Joseph focuses specifically on understanding personal loans at Bajaj Finserv Limited and examines customer preferences, loan amounts, advertising effectiveness, and customer satisfaction.

The personal loan business is important for both customers and financial institutions. Customers benefit from access to funds without pledging assets as collateral, while financial institutions earn income through interest and other applicable charges. However, because personal loans are unsecured, lenders face greater credit risk and therefore need to carefully evaluate the applicant's income, employment, repayment capacity, credit history, and other relevant factors. Effective customer assessment and loan management are consequently essential for maintaining the quality and profitability of a personal loan portfolio.

The study on Bajaj Finserv Limited also highlights important factors influencing customers when selecting a loan, including attractive interest rates, easy documentation, convenient repayment options, and quick processing. The research used both primary and secondary data and considered a sample of 100 respondents. It aimed to understand customer preferences toward different loan schemes and evaluate their satisfaction with the services provided by Bajaj Finserv.

Therefore, a study of personal loans at Bajaj Finserv Limited provides useful insight into customer behaviour, loan preferences, service quality, interest rates, and the overall effectiveness of personal loan schemes. It also helps identify areas where financial institutions can improve their products and services to satisfy changing customer needs. In an increasingly competitive financial-services environment, understanding

customer expectations and providing fast, transparent, and convenient loan services can help Bajaj Finserv strengthen customer relationships and maintain its position in the personal lending market

Objectives

1. To study the personal loan schemes offered by Bajaj Finserv Limited.
2. To identify customer preferences regarding personal loans and loan amounts.
3. To analyse customer satisfaction with the interest rates, documentation, processing and services provided by Bajaj Finserv.
4. To study the factors influencing personal loan adoption, including awareness, eligibility, repayment convenience and service quality.

Review of Literature

1. Jonathan Joseph (2021) conducted a study on personal loans at Bajaj Finserv Limited. The study examined customer preferences, loan amounts, advertising effectiveness and satisfaction with different loan schemes. The study found that simple procedures, quick processing and minimum documentation were important to customers.
2. Mohanapriya and Selvarani (2025) studied customer insights regarding Bajaj Finserv's consumer durable loans in Tiruchirappalli District. The study focused on customer awareness, experiences and problems before and after obtaining loans.
3. The 2025 study by Mohanapriya and Selvarani used data from 300 Bajaj Finserv customers and applied statistical techniques such as correlation, regression, ANOVA, t-test and chi-square to analyse customer perceptions.
4. (Mohanapriya and Selvarani (2026) examined consumer trust and satisfaction towards Bajaj Finserv loan products. The study highlighted service quality, EMI convenience, documentation, interest-rate perception and trust as important factors influencing customer satisfaction.
5. (Research on Bajaj Finserv indicates that quick and easy loan approval can improve customer satisfaction, while complicated and lengthy approval procedures may increase dissatisfaction.
6. (Bajaj Finserv's information on credit decisioning explains that lenders consider credit history, income, debt-to-income ratio and payment history when assessing a borrower's creditworthiness. This shows the importance of credit evaluation in personal lending.
7. Bajaj Finserv's annual reporting highlights the importance of customer feedback and service quality. The company uses customer satisfaction measures and multiple service channels to improve customer experience.
8. Studies of Indian NBFCs show that credit risk, financial inclusion, compliance and digital lending are major themes in NBFC research. Digital lending has become particularly important with the growth of India's digital financial ecosystem.
9. (Literature on personal lending indicates that unsecured personal loans involve credit risk because they generally do not have collateral backing. Multiple borrowing and inadequate credit information can increase the risk of repayment problems.
10. Overall, previous studies suggest that interest rates, easy documentation, fast approval, convenient EMI repayment, service quality and customer trust strongly influence

customers' decisions to use loan products. These factors provide a useful foundation for studying personal loans at Bajaj Finserv Limited.

COMPANY PROFILE

Bajaj Finserv Limited is one of India's leading diversified financial services companies and is part of the well-known Bajaj Group. The company provides a wide range of financial products and services to individuals, families, professionals, and businesses across India. Its major areas of business include lending, insurance, investment, digital financial services, and wealth-related services. Bajaj Finserv focuses on providing convenient and technology-driven financial solutions to customers through both physical and digital channels. The company has developed a strong presence in the Indian financial services sector by offering products that meet different customer requirements, including personal loans, consumer finance, business loans, home loans, insurance, and investment solutions.

Bajaj Finserv Limited was established as a financial services arm of the Bajaj Group with the objective of developing and expanding financial services businesses. Over the years, the company has grown significantly and has become an important financial services brand in India. The Bajaj Group has a long-standing history in the Indian business environment, and Bajaj Finserv benefits from the group's established reputation and customer relationships. The company's growth has been supported by increasing demand for consumer credit, personal finance, insurance, and digital financial services. Through its subsidiaries and associated businesses, Bajaj Finserv serves millions of customers across different parts of India.

One of the major businesses associated with Bajaj Finserv is Bajaj Finance Limited, a leading non-banking financial company (NBFC). Bajaj Finance provides various lending products such as personal loans, consumer durable loans, home loans, business loans, gold loans, and other forms of credit. Personal loans are an important part of the company's lending portfolio. These loans are generally provided for purposes such as education, medical expenses, weddings, travel, home renovation, debt consolidation, and other personal financial needs. The availability of quick and convenient personal loans has made such products increasingly important for customers who require funds without providing a specific asset as security.

Bajaj Finserv has placed considerable emphasis on technology and digital transformation in its financial services operations. Customers can access many financial products through digital platforms, websites, mobile applications, and other technology-enabled channels. Digital processes have helped make activities such as loan applications, document submission, customer verification, approval, and repayment more convenient. The company uses technology and data-driven processes to improve customer service and support efficient lending operations. Digitalisation has also helped financial institutions provide faster services while maintaining appropriate risk-management and regulatory procedures.

The personal loan business of Bajaj Finserv is designed to provide customers with access to funds for a variety of personal requirements. A personal loan is generally an unsecured loan, which means that the borrower normally does not have to provide a physical asset as collateral. The eligibility and loan terms depend on factors such as the applicant's income, employment profile, credit history, repayment capacity, and other applicable criteria. The company follows credit assessment procedures to evaluate customers before approving loans. Interest rates, loan amounts, repayment periods, processing charges, and other terms may vary according to the customer's profile and the product offered.

Customer service is another important aspect of Bajaj Finserv's business operations. The company provides financial services through a combination of branches, digital platforms,

customer-care channels, and partner networks. The use of multiple channels enables customers to obtain information, apply for financial products, make repayments, and receive assistance according to their requirements. The company's focus on customer convenience and technology has contributed to the development of a strong financial services ecosystem. Its digital approach also allows customers to manage several financial activities with reduced dependence on physical documentation and branch visits.

Bajaj Finserv operates in a highly regulated financial services environment. Its businesses are subject to regulations and guidelines issued by relevant Indian financial authorities. Compliance, responsible lending, customer protection, data security, and risk management are important elements of its operations. Since lending involves the possibility of credit losses, the company maintains systems for evaluating borrowers and monitoring loan portfolios. Effective credit-risk management is particularly important in the personal loan business because unsecured loans depend largely on the borrower's repayment capacity and credit behaviour.

The company also has a strong focus on expanding financial inclusion and improving access to financial products. India's growing middle class, increasing digital adoption, rising consumer spending, and greater awareness of formal financial services have created opportunities for financial institutions. Bajaj Finserv and its group companies participate in this expanding market by offering products to customers from different income and professional backgrounds. The company's broad product portfolio enables it to meet different financial requirements rather than depending on a single type of financial service.

Another important feature of Bajaj Finserv is its diversified business structure. The company is associated with businesses covering lending, insurance, investments, and other financial services. This diversification allows the group to serve customers at different stages of their financial lives. For example, a customer may require a personal loan for an immediate financial requirement, insurance for protection, and investment products for long-term financial planning. By providing access to multiple financial solutions, the Bajaj Finserv group has developed a broad presence in the Indian financial services market.

In the personal loan sector, competition among banks and NBFCs has increased because of the growing demand for convenient and quick credit. Bajaj Finserv competes by focusing on customer reach, digital technology, product variety, service convenience, and efficient loan processing. The company continues to use technology to simplify financial transactions and improve the overall customer experience. At the same time, maintaining responsible lending practices and managing credit risk remain

Business Model

Bajaj Finserv’s personal-loan business is based on a digital-first lending model. Through its lending business, Bajaj Finance Limited, the company provides personal loans and other financial products to individual customers. Customers can apply through digital platforms such as the Bajaj Finserv App and website, as well as through its physical distribution network. The company uses customer information, technology and credit assessment processes to evaluate loan applications and determine suitable credit terms. After approval, the loan amount is disbursed to the customer and repayment is collected through scheduled instalments. The business also focuses on building long-term customer relationships by offering additional financial products to existing customers.

The business model can be broadly explained as Customer Acquisition → Credit Assessment → Loan Approval → Disbursement → EMI Collection → Customer Retention and Cross-selling. Bajaj Finance operates across consumer finance, personal loans, SME finance, housing finance and other financial services, allowing it to diversify its customer base and sources of income. In FY2025, the company reported more than 43 million new loans booked and highlighted digitally disbursed personal loans of more than ₹20,000 crore.

Revenue Model

The major source of revenue in the personal-loan business is interest income earned from loans provided to customers. Customers repay the principal amount along with interest over the agreed loan tenure, and the interest component forms an important part of the company's lending revenue. Bajaj Finance also earns income through fees and commissions, along with other operating income and gains from financial activities. In Bajaj Finserv's FY2025 consolidated financial statements, interest income was ₹67,449.06 crore and fees and commission income was ₹5,449.17 crore, showing the importance of lending and fee-based income in its overall financial-services model.

The revenue model can therefore be summarized as Interest Income + Processing/Service Fees + Commission Income + Other Financial Income. Interest income is recognised using the effective interest rate method for relevant financial assets, while fees and other income are recognised according to the applicable accounting and contractual terms.

SWOT Analysis – Bajaj Finserv Limited

Bajaj Finance Limited, part of Bajaj Finserv, is a major NBFC offering personal loans and other financial products across India. Its FY2024–25 annual report highlights a large customer base, extensive physical presence, and strong digital loan distribution.

Strengths

1. Strong brand reputation – Bajaj Finserv has a well-established presence in the Indian financial services market.
2. Wide customer reach – The company serves customers through digital platforms and a large physical network.
3. Digital loan processing – Personal loans can be processed through digital channels, making borrowing more convenient.
4. Diversified financial products – The company offers personal loans, consumer finance, business loans, insurance, investments and other services.
5. Strong financial position – Bajaj Finance reported ₹4,16,661 crore in AUM and ₹16,779 crore profit after tax in FY2025.

1. Credit risk – Personal lending involves the possibility of customers failing to repay their loans.

2.Interest-rate sensitivity – Changes in borrowing costs can affect lending margins and customer demand.

3.Dependence on customer credit quality – Loan performance depends heavily on borrowers' income and repayment capacity.

4.High operating requirements – Maintaining large digital and physical lending operations requires significant investment.

5.Regulatory compliance burden – As a large NBFC, Bajaj Finance must comply with extensive RBI requirements.

Opportunities

1Growing demand for personal loans – Increasing consumer financial needs can create opportunities for personal-loan growth.

2Digital lending expansion – Greater use of smartphones and online financial services can increase digital loan adoption.

3.Rural and semi-urban expansion – The company can reach more customers in smaller towns and rural markets.

4.AI and technology – AI can improve customer service, credit assessment and loan processing. Bajaj Finance's FY2025–26 report describes increasing use of AI across its customer lifecycle.

Cross-selling – Existing personal-loan customers can be offered other financial products such as insurance, investments and payments services.

Threats

1. Intense competition – Banks, NBFCs and fintech companies compete strongly in the personal-loan market.

2. Regulatory changes – Changes in RBI rules can increase compliance requirements and operating costs.

3. Cybersecurity and data-privacy risks – Increased digital lending creates risks related to customer data and cyberattacks.

4. Economic slowdown – Reduced employment or income can affect loan demand and repayment.

5. Increase in defaults – Rising borrower defaults can increase credit losses and provisions.

PESTLE Analysis – Bajaj Finserv Personal Loan

1. Political Factors

- Government policies concerning financial inclusion can support the expansion of personal lending.
- RBI regulations strongly influence the operations of NBFCs.

- Government initiatives promoting digital payments and financial services can support digital lending.
- Changes in financial-sector policies may affect lending practices and compliance costs.

2. Economic Factors

- Changes in interest rates can influence personal-loan demand and borrowing costs.
- Inflation can affect customers' disposable income and repayment capacity.
- Economic growth can increase employment, income and demand for personal loans.
- During economic downturns, credit risk and loan defaults may increase.

3. Social Factors

- Increasing preference for convenient and quick financial services supports personal-loan demand.
- Greater digital awareness encourages customers to apply for loans online.
- Changing lifestyles and consumer spending patterns can increase the need for personal finance.
- Financial literacy influences customers' understanding of interest rates, EMIs and loan costs.

4. Technological Factors

- Mobile applications and websites make loan applications and repayments easier.
- Artificial intelligence can support credit assessment, customer service and fraud detection.
- Digital platforms can reduce processing time and improve customer experience.
- However, cybersecurity and data protection are increasingly important risks. RBI's digital-lending framework includes requirements concerning data collection, privacy and borrower protection.

5. Legal Factors

- Bajaj Finance must comply with RBI regulations applicable to NBFCs and digital lending.
- RBI's **Digital Lending Directions, 2025** consolidate requirements concerning digital lending, borrower protection and lending-service-provider arrangements.
- Loan costs and important terms must be transparently disclosed to borrowers.

- KYC, data protection, fair lending and grievance-redressal requirements affect lending operations.

6. Environmental Factors

- Digital loan applications can reduce dependence on paper-based documentation.
- Digital communication and online repayment can reduce physical paperwork.

- Environmentally responsible business practices can improve corporate sustainability.
- Climate-related economic disruptions can indirectly affect customers' income and repayment capacity.

Overall, the SWOT and PESTLE analysis shows that Bajaj Finserv's personal-loan business operates in an environment shaped by strong digital capabilities, large-scale operations, growing consumer demand, competition, economic conditions and extensive financial regulation.

Findings:

- ❖ High Demand for Personal Loans: The study finds that personal loans are widely preferred by customers because they can be used for various personal and financial needs.
- ❖ Customer Preference: Customers generally prefer Bajaj Finserv because of its convenient loan process, flexible repayment options, and accessibility.
- ❖ Quick Loan Processing: Faster processing and digital application facilities make personal loans more convenient for customers.
- ❖ Interest Rate Influence: Interest rates play an important role in customers' decisions. Customers compare rates and repayment terms before choosing a personal loan.
- ❖ Customer Satisfaction: Customers are more satisfied when the loan application, approval, documentation, and repayment processes are simple and transparent.
- ❖ Scope for Improvement: Bajaj Finserv can further improve customer experience by providing clearer information about charges, repayment schedules, and loan terms and by strengthening digital services.

Conclusion :

The study on Personal Loan at Bajaj Finserv Limited concludes that personal loans play an important role in meeting the financial needs of customers. Bajaj Finserv provides customers with convenient loan facilities, flexible repayment options, and a relatively simple application process. Customer preference is influenced by factors such as interest rates, loan amount, processing time, repayment period, and quality of service. The study

also shows that digital services have made the borrowing process more convenient and accessible. Therefore, maintaining transparency, improving customer service, simplifying procedures, and providing suitable repayment options can help Bajaj Finserv strengthen customer satisfaction and support the continued growth of its personal loan services.

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